MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-UGP (HONOURS)
(2024 Admission Onwards)
B.Com. SEMESTER IV - MODEL QUESTION PAPER
MG4DSCBLW200 – BUSINESS AND TAXATION LAWS

Time: 1 Hour 15 Minutes **Max. Marks: 70**

[Students should attempt at least one question from each course outcome to enhance their overall outcome attainability]

SECTION A – MULTIPLE CHOICE QUESTIONS
[Attempt any 20 questions. Each question carries 1 mark.]

1. Who is considered a 'consumer' under the Consumer Protection Act? [U]/[CO1]
   a). A person who buys goods for resale
   b). A person who buys goods for personal use
   c). A trader
   d). A manufacturer
2. Under the Consumer Protection Act, 2019, how is the term "goods" defined? [U]/[CO1]
   a) All types of services offered to consumers
   b) Every kind of movable property, including food items
   c) Only immovable property such as land and buildings
   d) Free services provided by the government

3. XYZ bank fails to disburse a loan to a customer despite receiving all necessary documents. This is an example of: [U]/[CO1]
   a). Deficiency in Services
   b). Unfair trade practice
   c). Commercial Decision
   d). Exclusion of liability
4. Limiting the number of dealers with the intention of controlling market price is an example of; [U]/[CO1]
   a). Market expansion b). Unfair trade practice
   c). Restrictive trade practice d). Consumer protection
5. Under the Consumer Protection Act, 2019, which provision specifically defines the term "Product Liability"? [U]/[CO1]
   a) Section 2(34)
   b) Section 2(35)
   c) Section 2(37)
   d) Section 2(41)

6. In a product liability action, which essential element must be established to directly connect the product defect with the injury or harm suffered by the consumer? [U]/[CO1]
   a) Existence of a valid purchase invoice
   b) Foreseeability of consumer misuse
   c) Proximate causation between defect and harm
   d) Market share of the manufacturer

7. Under the Consumer Protection Act, 2019, what is the prescribed composition of the District Consumer Disputes Redressal Commission? [U]/[CO2]

a) A President only
b) A President and at least two members, including at least one woman
c) Only judicial members
d) Only administrative members

8. Who can file a complaint before the Consumer Disputes Redressal Commission? [U]/[CO2]
   a). A consumer b). Legal heir
   c). A voluntary consumer organisation or the Government
   d). All of the other options
9. Under the Consumer Protection Act, 2019, if a product is properly manufactured but suffers from a defective design that causes harm to a consumer, what is the legal consequence? [U]/[CO2]
   a) The manufacturer bears no liability
   b) Only the retailer is liable
   c) The manufacturer is liable under product liability provisions
   d) Only criminal liability arises
10. Under the Consumer Protection Act, 2019, at what stage can a consumer opt for pre-litigation mediation by approaching a mediation cell? [U]/[CO2]
    a) After the final judgment of the Consumer Commission
    b) Only when the claim value exceeds ₹1 lakh
    c) Before filing a formal complaint before the Consumer Commission
    d) Only when both disputing parties are e-commerce platforms
11. Under the Consumer Protection (E-Commerce) Rules, 2020, within what maximum time period must a grievance officer acknowledge the receipt of a consumer complaint? [U]/[CO2]
    a) 24 hours
    b) 48 hours
    c) 72 hours
    d) 7 days
12. Intellectual Property is broadly divided into; [U]/[CO3]
    a). Industrial Property and Copyright b). Patents and Trademarks
    c). Patents and Trade secrets d). Patents and Gls
13. Under Patent Act, in which situation is a “Provisional Application” generally filed by an inventor? [U]/[CO3]
    a) When the invention is fully developed and ready for commercial launch
    b) When the invention is still under development but the inventor seeks to secure an early priority date
    c) When the inventor intends to obtain immediate international patent protection
    d) None of the other options
14. Under Copyright Act, where a literary, dramatic, or artistic work is created by an employee in the course of employment under a “contract of service” for a newspaper, who is regarded as the first owner of the copyright in relation to its publication? [U]/[CO3]
    a) The employee (author)
    b) The editor of the newspaper
    c) The employer or proprietor of the newspaper
    d) All of the other options
15. Under the Trade Marks Act, what is the initial term of protection granted to a registered trade mark from the date of registration? [U]/[CO3]

a) 5 years
b) 10 years
c) 15 years
d) 20 years

16. Under the Geographical Indications of Goods (Registration and Protection) Act, 1999, which of the following indications is not eligible for registration as a Geographical Indication (GI)? [U]/[CO3]
    a) An indication that is likely to deceive or cause confusion
    b) An indication that is contrary to any law in force
    c) An indication containing scandalous or obscene matter
    d) All of the other options
17. Under Patent Act, in which of the following situations does patent infringement arise? [U]/[CO3]
    a) When a person makes, uses, sells, or imports a patented invention without the consent of the patentee during the term of the patent
    b) When a person uses the invention after the patent has expired
    c) When a person conducts experiments on the invention purely for research or academic purposes
    d) When a person files an application seeking patent protection
18. Under GST, tax is levied at which stage? [U]/[CO4]
    a). Manufacturing stage b). Wholesale stage
    c). Retail stage d). At every stage of supply
19. Under the RCM in the GST framework, who is liable to pay the tax? [U]/[CO4]
    a) The supplier of goods or services
    b) The recipient of goods or services
    c) The Government itself
    d) The retailer only
20. Under Section 2(6) of the CGST Act, 2017, which of the following is *not* included in the computation of "aggregate turnover"? [U]/[CO4]
    a) Taxable supplies
    b) Value of inward supplies on which tax is payable under reverse charge
    c) Exempt supplies
    d) Exports of goods
21. If Ms. Trisha supplies a laptop for ₹1,00,000 and charges GST at 18%, thereby collecting ₹18,000 as tax from the customer, how should this ₹18,000 be classified under GST law? [U]/[CO4]
    a) Input Tax Credit
    b) Output Tax Liability
    c) Net Tax Payable
    d) Exempt Income
22. Which section of the Customs Act empowers the government to levy customs duties on imported goods? [U]/[CO4]
    a). Section 3 b). Section 12
    c). Section 25 d). Section 68

(20 × 1 = 20 marks)

SECTION B – MULTIPLE CHOICE QUESTIONS

[Attempt any 25 questions. Each question carries 2 marks.]

23. Consider the following statements and choose the most appropriate alternatives.

Statement I: Consumer Protection Act (CPA), 2019 provides for mediation cells attached to Consumer Commissions. [U]/[CO1]

Statement II: Mediation under CPA, 2019 is compulsory in all consumer disputes.

a). Both statements are true.
b). Statement I is true, and Statement II is false.
c). Statement I is false, and Statement II is true.
d). Both statements are false.

24. Match the following items in Column A with Column B. [U]/[CO1]

Column A	Column B
1. Defective Goods	A. A medicine with wrong dosage due to manufacturing error
2. Spurious Goods	B. Fake branded perfume sold as original
3. Deficiency in Services	C. Bank fails to correct a wrong debit even after repeated complaints
4. Spurious Service	D. Fake online course advertised as live classes but delivers recorded videos

Choose the correct option;

a). 1-A,2-B,3-C,4-D
b). 1-D,2-C,3-B,4-A
c). 1-A,2-C,3-D,4-B
d). 1-B,2-A,3-C,4-D

25. Consider the following statements, Assertion (A)and Reasoning (R). Choose the correct alternative. [U]/[CO1]

Assertion (A): Unfair trade practices involve misleading consumers.

Reasoning (R): They often include false statements or deceptive representations.

a). Both A and R are true and R is the correct explanation of A
b). Both A and R are true but R is NOT the correct explanation of A
c). A is true but R is false
d). A is false but R is true

26. Consider the following statements and choose the most appropriate alternative. [U]/[CO1]

Statement I: Under the Consumer Protection Act, 2019, endorsers may be prohibited from endorsing products for a specified period if found guilty of misleading advertisements.

Statement II: An endorser can avoid liability if they have exercised due diligence to verify the claims made in the advertisement.

a) Both Statement I and Statement II are correct
b) Both Statement I and Statement II are incorrect
c) Statement I is correct but Statement II is incorrect
d) Statement I is incorrect but Statement II is correct

27. In a product liability action filed before a Consumer Commission under the Consumer Protection Act, 2019, what type of relief may the Commission grant to the aggrieved consumer? [U]/[CO1]

a) Only a formal warning to the manufacturer
b) Compensation for loss or injury suffered, including punitive damages where appropriate
c) Issuance of discount coupons as goodwill compensation
d) Supply of free products in future transactions

28. Consider the following statements relating to pecuniary jurisdiction under the Consumer Protection Act, 2019: [U]/[CO2]

1. Pecuniary jurisdiction refers to the monetary value (of the goods or services paid as consideration) involved in a consumer dispute.

2. Pecuniary jurisdiction determines which level of Consumer Commission (District, State, or National) is competent to entertain a complaint.
3. Pecuniary jurisdiction is determined based on the place where the cause of action arises.

Which of the above statements are correct?

a) 1 and 2 only
b) 2 and 3 only
c) 1 and 3 only
d) 1, 2 and 3

29. With reference to the powers and functions of the Central Consumer Protection Authority (CCPA) under the Consumer Protection Act, 2019, consider the following statements: [U]/[CO2]

1. The CCPA may conduct an inquiry or investigation into violations of consumer rights either on its own motion (suo motu) or upon receiving a complaint.
2. If, after a preliminary inquiry, a prima facie case is established, the CCPA may order or initiate a detailed investigation.
3. The CCPA has the authority to file complaints before the District, State, or National Consumer Commissions on behalf of consumers as a class.
4. The CCPA does not have the power to intervene in proceedings before the Consumer Commissions.

Which of the above statements are correct?

a) (1), (2) and (3) only
b) (1) and (4) only
c) (2), (3) and (4) only
d) (1), (2), (3) and (4)

30. Consider the following statements, Assertion (A)and Reasoning (R). Choose the correct alternative. [U]/[CO2]

Assertion (A): Product service provider is liable when service is delayed, negligent or incomplete.

Reasoning (R): Liability of product service provider mainly depends on quality of service rendered.

a). Both A and R are true and R is correct explanation
b). Both A and R are true but R is not correct explanation
c). A is true but R is false
d). A is false but R is true

31. Under the Consumer Protection Act, 2019, what is the mandatory pre-deposit requirement for an appellant to have an appeal admitted by the State Consumer Disputes Redressal Commission against an order of the District Commission directing payment of an amount? [U]/[CO2]

a) Deposit 100% of the amount ordered by the District Commission
b) Deposit 50% of the amount ordered or ₹25,000, whichever is less
c) Deposit 50% of the amount ordered or ₹25,000, whichever is more
d) Furnish a bank guarantee for the full amount ordered

32. Under the Consumer Protection (E-Commerce) Rules, 2020, what is the implication of the "Fall-back Liability" provision for a marketplace e-commerce entity? [U]/[CO2]

a) The marketplace platform is never responsible for any default committed by the seller.

b) The marketplace entity may be held liable if the seller fails to deliver goods or services due to negligence, and the platform has not fulfilled its due diligence

obligations.
c) The consumer must seek refund directly from the bank in case of non-delivery.
d) The seller is required to compensate the marketplace when a product is returned by the consumer.

33. An inventory e-commerce entity sells goods directly to consumers through its own platform. Which of the following best describes its legal responsibility? [U]/[CO2]
a) It acts merely as an intermediary and is not liable for product defects
b) It is liable as a seller and must ensure conformity of goods with contractual and statutory standards
c) It is liable only if the manufacturer is unknown
d) It is responsible only for payment processing

34. Consider the following statements regarding Indian Patent Act and choose the most appropriate alternative. [U]/[CO3]
Statement I: A patent application in India may be filed only by the true and first inventor.
Statement II: A granted patent is a form of intellectual property that may be assigned, licensed, inherited, gifted, or otherwise transferred like other movable property.
a) Both Statement I and Statement II are true
b) Statement I is true, but Statement II is false
c) Statement I is false, but Statement II is true
d) Both Statement I and Statement II are false

35. Under Copyright Act, which of the following rights are ordinarily conferred upon the owner of a copyright in a protected work? [U]/[CO3]
1. The right to reproduce the work and issue copies to the public.
2. The right to perform or communicate the work to the public.
3. The right to assign or license the work in return for royalties.
4. The right to restrain others from using a similar idea expressed in a different form.

Select the correct combination:
a) (1) and (2) only
b) (1), (2) and (3) only
c) (1), (2), (3) and (4)
d) None of the other options s

36. Match the following categories of works under Copyright Act with their corresponding duration of protection: [U]/[CO3]

Column A	Column B
(a) Broadcasts	(i) 50 years from the year of performance
(b) Performance Rights	(ii) 25 years from the year of broadcast
(c) Sound Recordings	(iii) Life of the author + 60 years
(d) Literary Works	(iv) 60 years from the year of publication

Choose the correct combination:
a) a-ii, b-i, c-iv, d-iii
b) a-i, b-ii, c-iii, d-iv
c) a-iii, b-iv, c-i, d-ii
d) a-iv, b-iii, c-ii, d-i

37. With reference to the examination of a trade mark application under the Trade Marks Act, consider the following statements: [U]/[CO3]
1. The Registrar may accept the application absolutely or subject to conditions, limitations, or modifications.
2. During examination, the Registrar considers both absolute and relative grounds for refusal.

3. The examination of the application takes place only after its publication in the Trade Marks Journal.

Which of the above statements are correct?

a) 1 and 2 only
b) 2 and 3 only
c) 1 and 3 only
d) 1, 2 and 3

38. Under the Geographical Indications of Goods (Registration and Protection) Act, 1999, which of the following is *not* a valid ground for refusal of registration of a Geographical Indication (GI)? [U]/[CO3]

a) A GI that is likely to hurt religious sentiments
b) A GI that is contrary to public order or morality
c) A GI that identifies goods as originating from a specific geographical territory
d) A GI that has become generic in nature

39. Consider the following statements, Assertion (A) and Reasoning (R). Choose the correct alternative. [U]/[CO3]

Assertion (A): Copyright infringement is considered a cognizable offense in India.
Reasoning (R): A police officer of the rank of Sub-Inspector or above can seize infringing copies and arrest the offender without a court warrant.

a). Both A and R are true, and R is the correct explanation of A.
b). Both A and R are true, but R is not the correct explanation of A.
c). A is true, but R is false.
d). Both A and R are false.

40. 'A' has been continuously using the trade mark "MOONSTAR" since 2015 but did not register it. In 2025, 'B' applies for and obtains registration of the same mark and begins using it in relation to similar goods. [U]/[CO3]

In such a situation, who has better legal rights over the trade mark?

a) B, because registration automatically overrides prior use
b) A, because prior continuous use prevails over subsequent registration
c) Both A and B have equal statutory rights
d) Neither A nor B has enforceable rights

41. Under the Geographical Indications of Goods (Registration and Protection) Act, 1999, who is legally entitled to institute a civil suit for infringement of a registered Geographical Indication (GI)? [U]/[CO3]

a) Any consumer of the goods
b) The registered proprietor or an authorised user of the GI
c) A police officer acting independently
d) Any trader dealing in similar goods

42. Match the following components of the Goods and Services Tax (GST) with their correct descriptions: [U]/[CO4]

List I		**List II**
(a) CGST		(i) Applicable on inter-State supply
(b) SGST		(ii) Collected by the State Government
(c) IGST		(iii) Collected by the Central Government
(d) GST		(iv) Destination-based tax

Choose the correct combination:

a) a-iii, b-ii, c-i, d-iv
b) a-ii, b-iii, c-iv, d-i
c) a-i, b-iv, c-iii, d-ii
d) a-iv, b-i, c-ii, d-iii

43. With reference to the composition of the GST Council, consider the following statements: [U]/[CO4]
    1. The Union Finance Minister serves as the Chairperson of the GST Council.
    2. The Union Minister of State in charge of Revenue or Finance is a member of the GST Council.
    3. The Finance Ministers (or nominated members) of the States are members of the GST Council.
    4. The Prime Minister of India is a permanent member of the GST Council.

    Which of the above statements are correct?
    a) (1), (2) and (3) only
    b) (1) and (4) only
    c) (2), (3) and (4) only
    d) (1), (2), (3) and (4)

44. Consider the following statements and choose the most appropriate alternative. [U]/[CO4]

    Statement I: A taxable person is a person who is registered or liable to be registered under the GST Act.

    Statement II: Every person carrying on business is automatically a taxable person under GST.
    a). Both statements are true
    b). Statement I is true, and Statement II is false
    c). Statement I is false, and Statement II is true
    d). Both statements are false

45. Consider the following statements and choose the most appropriate alternative: [U]/[CO4]

    Statement 1: Input Tax Credit (ITC) allows a registered person to reduce the tax they have already paid on inputs from the tax to be paid on output.

    Statement 2: ITC can be claimed even if the goods or services are used for personal consumption.
    a). Both Statement I and Statement II are true.
    b). Statement I is true, but Statement II is false.
    c). Statement I is false, but Statement II is true.
    d). Both Statement I and Statement II are false.

46. Consider the following statements, Assertion (A) and Reasoning (R). Choose the correct alternative: [U]/[CO4]

    Assertion (A): The GSTIN is a tax registration number used by the government to track financial transactions.

    Reasoning (R): The E-Way Bill is generated physically by the consignor at the local tax office.
    a). A is true, but R is false
    b). A is false, but R is true.
    c). Both A and R are true, and R is the correct explanation of A.
    d). Both A and R are true, and R is not the correct explanation of A.

47. A foreign vessel is intercepted by Indian customs authorities 15 nautical miles from the Indian coastline while carrying undeclared goods intended for illegal entry into India. This action by customs authorities is legally justified because the vessel is within: [U]/[CO4]
    a) High seas
    b) Internal waters
    c) Customs waters
    d) Territorial waters

48. Read the following statements and choose the correct option: [U]/[CO4]

    Statement I: Goods kept in a customs area remain under customs control until clearance for home consumption or export.

Statement II: Entry of goods into a customs area itself constitutes the taxable event under the Customs Act.

a). Both Statement I and Statement II are correct

b). Statement I is correct and Statement II is incorrect

c). Statement I is incorrect and Statement II is correct

d). Both Statement I and Statement II are incorrect

49. Why is a customs bonded warehouse legally significant under the Customs Act, 1962? [U]/[CO4]

a) It converts imported goods into domestic goods automatically

b) It eliminates the requirement for customs documentation

c) It permanently exempts goods from customs duty

d) It allows the importer to postpone payment of customs duty until the goods are cleared for home consumption

(25 × 2 = 50 marks)